

## Online portfolio selection (OPS)

is an algorithm-based

trading strategy that seeks to optimise investment returns.

It was first implemented in 2012 by Bin Li and Bin Hoi at Wuhan University (with the universal portfolio algorithm as predecessor).

OPS is contrasted with more traditional approaches to portfolio optimization:

while mean-variance optimization seeks to balance risk and return, OPS specifically aims to maximize cumulative wealth, drawing on the Kelly approach to maximizing long-term expected value.

Here, OPS sequentially allocates capital among a group of assets, employing, as appropriate, one of several portfolio selection strategies:

Follow the leader

Follow the loser

Fuzzy approach

Risk assessment

Follow either winner or loser

Pattern recognition based

References

External links

Online portfolio selection algorithms at GitHub.